IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/7 (CHE)/2023
in
CA(CAA)/68 (CHE)/2022

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of the *Scheme of Amalgamation of*

RMKV FASHION GARMENT PRIVATE LIMITED,
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
176-F, Trivandrum Road, Vannar Pettai,
Tirunelveli - 627003,
Represented by its Managing Director
Mr. K Mahesh (DIN: 02436370)

... Petitioner / Transferor Company

RMKV FABRICS PRIVATE LIMITED
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
176-F, Trivandrum Road, Vannar Pettai,
Tirunelveli - 627003,
Represented by its Managing Director
Mr. N.Viswanath (DIN: 02434813)

...Petitioner / Transferee Company

And
Their Respective Shareholders

*Order Pronounced on **08th June 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Petitioner(s): Mr.A.M.Ilango,Advocate , Advocate
Mr.Adharsh, Advocate
Mr.N.Ramanathan, PCS
For Regional Director: Mr.Avinash Krishnan Ravi, Advocate
For Official Liquidator: Mr.B.Palani, Estate Assistant

ORDER

(Hearing conducted through VC)

Per: SAMEER KAKAR, MEMBER (TECHNICAL)

This Joint Company Petition has been filed by **RMKV FASHION GARMENT PRIVATE LIMITED** (for brevity "Transferor Company") and

RMKV FABRICS PRIVATE LIMITED (for brevity "Transferee Company") under section 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for the approval of the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME'). The said Scheme is placed at **Annexure-A7** in the Petition.

2. Affidavits in support of the present petition sworn by **Mr.K.Mahesh** on behalf of **Transferor Company** and by **Mr.N.Viswanath** on behalf of **Transferee Company** in the capacity of the Managing Director and the corresponding Board Resolutions dated 11.07.2022, have been placed on record.

3. **1ST MOTION APPLICATION – IN BRIEF**

The Transferor Company had filed the First Motion Application vide CA(CAA)/68(CHE)/2022 and sought directions for dispensation conducting the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Transferor and the Transferee Company. In the said application, this Tribunal vide order dated 09.12.2022 had directed to conduct the meeting for Secured and Unsecured Creditors of the Transferee Company on 27.01.2023. Mrs.Pavitra Dhayalan was appointed as Chairperson of the above meetings. Pursuant to that, the Chairperson filed a report of the said meetings on 30.01.2023. Subsequently, the Petitioner Companies filed the second motion petition on 04.02.2023 for

approval of the Scheme, which was within limitation as per provisions of the Companies Act, 2013 and the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

4. **SCHEME SUMMARY:**

The Scheme provides for the Amalgamation of the Transferor Company with the Transferee Company.

5. **RATIONALE OF THE SCHEME**

The rationale and benefits of the Scheme are briefed in the Scheme as follows,

> *"1. Result in improved shareholder value for all the Companies by way of improved financial structure and cash flows, increased asset base and stronger consolidated revenue and profitability and higher net worth of combined entity.*
>
> *2. Consolidation of Companies and Increase Shareholder's wealth.*
>
> *3. Minimize ongoing compliance and administrative formalities."*

6. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 22.02.2023 had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator, (iv) the Income Tax Department, with PAN details of all Petitioner companies and copy to the Chief Principal Commissioner Office as well as for paper

publication to be made in "Financial Express", English (All India Edition) and "Malai Malar" Tamil (Tamil Nadu Edition).

7. In compliance with the said directions issued by this Tribunal, the Petitioner Companies effected the paper publications in "Financial Express" (All India Edition) in English on 14.03.2023 in Ahmedabad Edition and 15.03.2023 in all other editions and "Malai Malar" (Tamil Nadu Edition) in Tamil on 15.03.2023. Notices have been served to (i) Regional Director, Southern Region, Chennai on 08.03.2023, (ii) Registrar of Companies Chennai on 08.03.2023, (iii) Official Liquidator on 08.03.2023, (iv) Income Tax Department on 08.03.2023. The proof of the same by way of affidavit of service dated 28.03.2023 has been enclosed with the separate typed set. Pursuant to the service of notice of the petition, the statutory authorities have responded as under:

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

The Regional Director (RD), Southern Region to whom the notice was issued in the first motion itself has filed its report dated 13.04.2023 before this Tribunal and expressed its no objection as follows,

> *"15. The Scheme of amalgamation filed with the application has been examined and it has been decided not make any objection to the Scheme..."*

8.2. INCOME TAX DEPARTMENT:

Despite notice having been served and also public notice dated 15.03.2023, there is no representation from the Department of Income Tax. This Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the approval of the Scheme.

8.3. Official Liquidator

8.3.1. The Official Liquidator, Chennai to whom the notice was issued has filed his Report before this Tribunal on 27.04.2023 and stated that they have appointed Mr.N.Subramanian, Chartered Accountant from the panel list maintained by their office to verify into the affairs of the Transferor Company. In para 5 of the said report, the Official Liquidator has expressed his no objection as follows,

> *"On examination / scrutiny of the books of accounts, records and registers etc. mentioned in above, he is of the opinion that the business has not been carried on with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of Section 339 of the Companies Act, 2013. No director, or officer or any other person of the company misapplied or diverted or retained or became liable or accountable for any money or property of the company or has been found guilty of any misappropriation, breach of trust in relation to the company under Section 340 of the Companies Act, 2013. He concurs with the views expressed by the management that the various reasons for which this scheme is proposed. In view of the above observations, he is of the concerted opinions that the affairs of M/s. RMKV Fashion Garment Private Limited have not been conducted in a manner prejudicial to the of its members or creditors or public."*

8.3.2. Further, the Official Liquidator has sought to take the report of the Chartered Accountant on record and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of the Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **₹50,000/-** plus GST.

9. ACCOUNTING TREATMENT

The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferor Company and Transferee Company are in compliance with Section 133 of the Companies Act, 2013 which are placed at pages 436-437 of the petition.

10. VALUATION

The report of valuation dated 10.07.2022 prepared by the Registered valuer Mr.Viswanathan Rajagopalan is placed on record wherein the fair share exchange ratio for the Scheme is recommended as follows

> *"For every 1 share of INR 10 each fully paid held in RMKV Fashion Garment Private Limited 0.25 fully paid up equity share of INR 10 fully paid up in RMKV Fabrics Private Limited will be issued."*

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. This Tribunal is of the view that the scheme as contemplated amongst the petitioner companies is *prima facie* not, in any way detrimental to the interest of the members of the

Company. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation at **Annexure-A7** of the petition as well as the prayer made therein.

11.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

11.3. It is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and interests of the Transferor Company shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section

232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2022** as mentioned in clause 1.4 of the Scheme.

(iv) The 'Effective Date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme are filled with ROC Chennai as mentioned in clause 1.5 of the Scheme.

(v) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) That all the employees/workmen of the Transferor Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service with all the benefits.

(vii) The Transferee Company do without further application pay the considerations as follows,

"1 (One) Equity Share of Rs.10/- each of Transferee Company for every 4 (Four) Equity Shares of Rs.10/- each held in Transferor Company"

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(ix) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition stands **allowed** on the aforementioned terms and is disposed off.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)